

Professional Trading Tutorial - Section 15

Risk Management: Grade First, Risk-Reward Second

A setup-quality framework that puts psychology before position sizing math.

Session Anchor

One of the strongest coaching moments was the rule: grade the setup first, then apply risk-to-reward. The student must know whether the setup fits their skill level before deciding how much money or simulated capital to risk.

Student Promise

By the end of this tutorial, students should be able to explain the concept, apply it to a live or replayed chart, and know what evidence would invalidate their interpretation.

Risk Frame

This document is for education and simulation. It does not recommend buying, selling, shorting, or using options, futures, margin, crypto assets, or leveraged products.

Prepared for student use from the May 14 coaching conversation. Updated May 15, 2026.

Learning Outcomes

- Grade setups by quality, not excitement.
- Separate setup grade from trader readiness grade.
- Apply risk-to-reward only after invalidation and skill fit are clear.
- Explain why math fails when the trader cannot emotionally accept the loss.
- Build a repeatable pre-trade risk checklist.

Grade the setup before the risk math

		Setup grade						
		F	D	C	B	A		
Trader readiness	A	PAPER	SMALL	SMALL	PLAN	PLAN		
	B	PAPER	PAPER	SMALL	SMALL	PLAN		
	C	NO	PAPER	PAPER	SMALL	SMALL		
	D	NO	NO	PAPER	PAPER	SMALL		
	F	NO	NO	NO	PAPER	PAPER		

- No trade
- Paper trade
- Small risk
- Planned risk

Math is useful only after the student can accept the loss and follow the invalidation.

Core Teaching Idea

Risk management is not only a formula. It is a behavioral contract. Students should first decide whether the trade is worth taking for them, at their current skill level. Only after that should they calculate reward, stop distance, position size, and maximum loss.

Classroom Rule

No grade, no trade. If the student cannot grade the setup and explain why the grade is appropriate, they are not ready to size the idea.

Two Grades, Then the Math

Layer	Question	Possible output
Setup grade	How clean is the market structure, confirmation, time of day, and context?	A, B, C, D, or F.
Trader readiness grade	Is this type of trade appropriate for the student's current skill and speed?	Ready, paper only, or no trade.
Invalidation	Where is the idea clearly wrong?	Stop/invalidation zone.
Risk-to-reward	What is the realistic target relative to the risk?	1:1, 2:1, 3:1, or not worth it.
Position size	What loss can the student accept without breaking discipline?	Simulated or real size, if approved.
Post-trade review	Did the student follow the plan?	Process score, not just P/L.

Why Grade First?

- The same chart can be an A setup for an experienced scalper and an F setup for a beginner.
- Risk-to-reward math can make a bad trade look attractive if the probability and skill fit are ignored.
- A student who cannot accept the planned loss will often move stops, hesitate, double down, or exit randomly.
- Setup grading reduces impulse trades by creating a pause before sizing.

Risk-to-Reward After the Grade

Risk-to-reward is a ratio, not a reason. A 3:1 trade is not automatically good if the setup is weak, the target is unrealistic, or the trader cannot follow the plan.

Trade type	Typical student challenge	Risk teaching emphasis
Scalp	Fast decisions and tight invalidation.	Usually paper only for beginners; speed makes execution and emotions harder.
Breakout	Chasing before confirmation.	Wait for close, volume, and retest standards.
Swing	Patience and entry discipline.	Use zones, staged planning, and wider invalidation.
Options spread	False confidence from defined risk.	Max loss can happen; require payoff diagram.
Crypto	Volatility and 24/7 movement.	Understand product wrapper, leverage, custody, and gaps between linked markets.

Risk Language

Ask: 'Am I willing to lose this planned amount if the setup fails?' before asking: 'How much can I make?'

Pre-Trade Risk Checklist

- What is the setup type: scalp, breakout, trend follow, swing, position, or options structure?
- What is the setup grade and why?
- What is my readiness grade for this setup type today?
- Where is invalidation? Is it visible on the chart?
- What is the realistic target? Is there enough room before the next opposing level?
- What is my maximum acceptable loss?
- What will I do if price immediately goes against me?
- What will I do if price moves in my favor but volume weakens?
- Is this a live trade, paper trade, or no trade?

2026 Rule Update Note

Day-trading margin rules changed in 2026. Students should verify current broker and regulatory requirements before using margin or frequent intraday trading. Education should focus on risk discipline, not exploiting rule changes.

Student Practice Lab

Grade-First Trade Review

Objective: Train students to judge setup quality before calculating R:R or size.

Steps

- Give students five screenshots: clean breakout, fakeout, range, near-resistance scalp, and pullback swing candidate.
- Students grade each setup A-F for an expert trader.
- Students grade each setup A-F for themselves personally.
- Only for setups graded B or better for themselves, they may calculate risk-to-reward.
- Students write the invalidation level and maximum acceptable loss.
- Class compares whether the same setup received different grades for different students.

Deliverable

A completed five-setup grading sheet with personal grade, invalidation, R:R, and decision: no trade, paper trade, or simulated trade.

Mini-Quiz

1. Why should a student grade the setup before calculating risk-to-reward?
2. How can the same chart be a good trade for one person and a bad trade for another?
3. What is invalidation?
4. Why does a high R:R ratio not automatically make a trade good?
5. What should a student do if they cannot emotionally accept the planned loss?

Answer Key

1. Because the ratio does not measure skill fit, setup quality, or whether the student can follow the plan.
2. Experience, speed, strategy familiarity, account constraints, and emotional readiness differ by trader.
3. The price/structure condition that proves the trade idea is wrong.
4. The target may be unrealistic, the probability may be poor, or the setup may be low quality.
5. Do not take the live trade; paper trade, reduce risk, or stand aside.

External Source Pack

Use the sources below to add outside depth to the classroom explanation. Source titles are clickable in the PDF; if printed, students can search the exact title and publisher.

Source	Why students should read it	Classroom use
Investor.gov - Thinking of Day Trading? Know the Risks investor.gov	Explains day trading risk, leverage, sophisticated products, and potential for significant losses.	Use as the first risk reading for active-trading students.
FINRA - Regulatory Notice 26-10 finra.org	Explains the 2026 replacement of old pattern day trading margin requirements with new intraday margin standards.	Use to keep rule discussions current and broker-specific.
Investor.gov / FINRA - Order Types investor.gov	Explains market, limit, stop, stop-limit, and trailing-stop risks.	Use for invalidation and order-planning lessons.
OCC - Options Disclosure Document theoec.com	Explains standardized options risks for students who advance into spreads.	Use before options risk-to-reward examples.

Instructor Note

Keep source discussions practical. Students should translate every external idea into a chart question: What do I need to see on price, volume, time, and risk before this idea is actionable?